

Tsuruha Holdings Inc. — 3391.XTKS

AEON Co. tender offer + open-market accumulation · deep-dive · 2026-04-15

Ticker	3391.XTKS
Issuer FIGI	BBG000JXTF38
Market cap	USD 5,812m
Signal date	2026-04-15
Signal type	tender_offer (parent consolidation, cross-listed via AEON)
Direction	LONG (merger-arb / control-change)
Score	35 / 42.5
Deep-dive date	2026-04-15

Thesis (TL;DR)

AEON Co. (8267) completed a JPY 11,400/share tender (Dec 3 2025 – Jan 6 2026) plus open-market purchases through 2026-04-30 to reach 50.9% voting control of Tsuruha Holdings, capping a multi-year consolidation of Japan's largest drugstore group (post Welcia-Tsuruha merger effective 2025-12-01). The 2026-04-15 TDnet filing is the control-secure confirmation. Tender premium was 4.6% vs. 2025-04-11 unaffected close. Recommendation: control is now secured, minority squeeze-out is the next step; remaining arb is thin. Broader read-through: AEON is now Japan's dominant retail-pharmacy consolidator with ≈5,600 stores and >JPY 2trn revenue.

Company context

Tsuruha Holdings: Japan's top-2 drugstore operator; merged with Welcia (AEON's pre-existing drugstore arm) effective 2025-12-01 via share-exchange (4.34 Welcia : 1 Tsuruha, resulting 51/49 Tsuruha/Welcia equity split).

Market cap: USD 5.81bn.

Parent: AEON Co. (8267), Japan's largest retailer (mega-cap USD 30bn).

Strategic context: AEON has been accumulating Tsuruha since 2024, navigating activist opposition (Orbis Investments) to the Welcia-Tsuruha merger structure.

What the release actually contains

Bidder: AEON Co. (8267).

Primary tender: JPY 11,400/share, Dec 3 2025 – Jan 6 2026.

Subsequent open-market accumulation: Jan 9 – Apr 30, 2026.

Control threshold achieved: 50.9% voting by 2026-04-15.

Tender premium: 4.6% over 2025-04-11 unaffected close (thin — reflects prior accumulation).

Welcia delisted 2025-11-27; Welcia-Tsuruha share-exchange effective 2025-12-01.

Counter-view on record: Orbis Investments publicly opposed the merger structure as undervaluing Tsuruha.

Thesis statement

Merger-arb LONG, late-stage. Control is effectively done; the residual trade is a small spread to the inevitable squeeze-out at ≤JPY 11,400. An interesting *asymmetric* angle: Orbis-style activists argued Tsuruha was worth materially more than the tender price, so a minority-holder lawsuit for fair-value at squeeze-out is a tail-scenario optional payoff. Base-case: no trade. Tail case (class-action true-up): sub-1% NAV lottery position.

Catalyst map

Event	Date / Window	Entry trigger	Exit / resolution
Control secured (filing)	2026-04-15	AEON ≥ 50.9%	Signal confirmed
Minority squeeze-out	0–90d	Cash-out resolution at AGM	Arb closes
Orbis / minority lawsuit	0–180d	Court filing vs. Tsuruha board	Option-value unlock
Welcia-Tsuruha integration synergies	H2 2026+	First combined quarterly	Re-rating of AEON itself
JFTC follow-up	rolling	Unexpected divestiture order	Deal retreat

Steelman of the opposite view

- Tender premium was only 4.6% — on an activist-opposed setup, fair-value litigation risk is non-trivial.
- Tsuruha's underlying business (drugstore chain with $\geq 3,500$ stores) is among Japan's most defensible retail categories — a squeeze-out at tender price may under-compensate minorities.
- AEON's own share price reaction will be the better expression of the synergy thesis; Tsuruha arb is a low-return footnote.
- Orbis has historically litigated Japanese fair-value matters, so minority upside optionality is real but low-probability.

Kill conditions

Kill condition	Numeric / factual threshold	Where observable
K1: Squeeze-out completes cleanly at tender price	JPY 11,400 cash-out executes	AGM minutes / TDnet
K2: Orbis lawsuit not filed in 180d	No court docket	Public court record
K3: Welcia-Tsuruha synergies track plan	Run-rate EBITDA synergies $\geq$ disclosed plan	AEON quarterly results
K4: No JFTC remediation	No divestiture order	JFTC public register
K5: Borrow cost > expected spread	Stock-loan > 3% annualized	Broker stock-loan desk

Peer comparables

- Welcia delisting 2025-11 — inside-group precedent at the same premium band.
- Seven & i Holdings / Sogo-Seibu carve-out (2023) — retail-group restructuring at narrow premia.
- FamilyMart / UNY (2019–2020) Itochu-parent take-private — minority-litigation precedent. [unverified] on outcome relevance to 3391.

Position sizing guidance

No new merger-arb entry — tender is done and premium is thin. Tail-risk lottery on fair-value lawsuit can be sized at 0.1–0.2% NAV if an Orbis-style plaintiff files within 60 days. Core read-through: AEON (8267) is the better expression of the consolidation thesis.

Sources & traceability

- BusinessWire / Orbis Statement 2025 — Orbis opposition to Tsuruha-Welcia merger / AEON tender.
- Primary: TDnet PDF <https://www.release.tdnet.info/inbs/140120260415504841.pdf>.
- Non_us stub: 3391_XTKS_tsuruha-holdings-tender-offer.md.